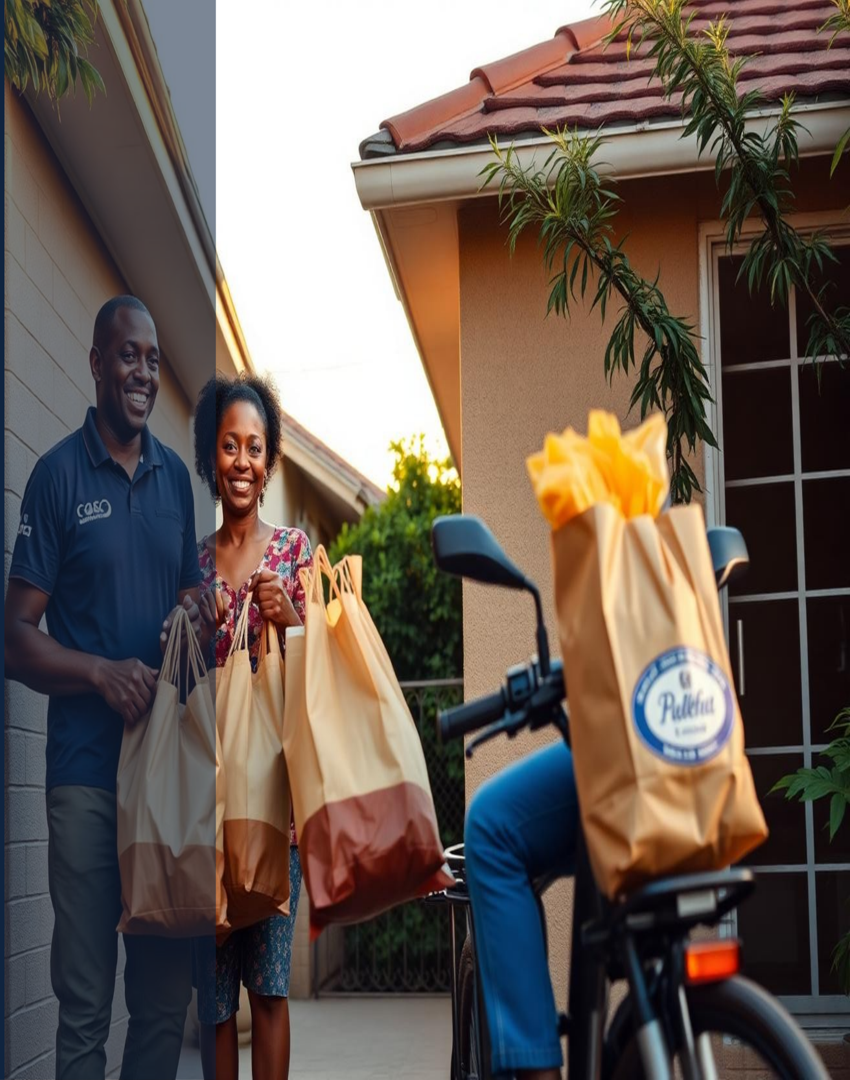
EXECUTIVE BOARD PROPOSAL

TM Pick n Pay Express

Evolving Click & Collect into Diaspora-to-Door delivery

Prepared for the Executive Board · TM Pick n Pay Zimbabwe & Meikles Limited



Monetising the digital infrastructure you already own

The foundation

tmpnponline.co.zw and the dedicated app are already live, running localized Click & Collect across the estate.

The optimization gap

Collection demands transport, fuel and time. Diaspora buyers still pay Malayitsha vans purely for doorstep convenience.

Our value proposition

A Diaspora UI mode plus a decentralised last-mile network turns 57+ branches into on-demand fulfilment nodes.

Bypassing physical logistics friction

Current system — Click & Collect

Diaspora shopper

Web / app order

Recipient must travel

Urban branches only

The evolution — On-demand diaspora engine

Diaspora shopper

Targeted ads

Pure US$ gateway

Bike courier

Recipient's door

Rural and elderly recipients cannot easily reach a flagship urban branch to collect heavy hampers.

Door-to-door fulfilment adds sponsors who want confirmation that food arrived safely.

Monetising every stage of the cross-border basket

40,000	**1.5**	**US$85**	**12**
Active diaspora customers	Orders per month	Average basket size	Months

ANNUAL GROSS MERCHANDISE VALUE

US$61,200,000

40,000 customers × 1.5 orders × US$85 × 12 months — migrated from cash remittances and Malayitsha vans into a tracked US$ retail pipeline.

Five stacked revenue streams

1. Retail product margins

Spread captured on goods otherwise bought in South African cash-and-carries. 21% gross margin.

US$12,852,000

2. Last-mile delivery share

US$4.50 fee within 10km; the platform retains US$1.50 net per drop.

US$1,080,000

3. Cross-border surcharge

3% checkout fee on international cards originating outside Zimbabwe.

US$1,836,000

4. Diaspora Priority tiers

US$8.99/month for free delivery and recurring staple baskets. 15% adoption.

US$647,280

5. Retail media network

FMCG brands bid for sponsored placement in front of high-spend diaspora buyers.

US$734,400

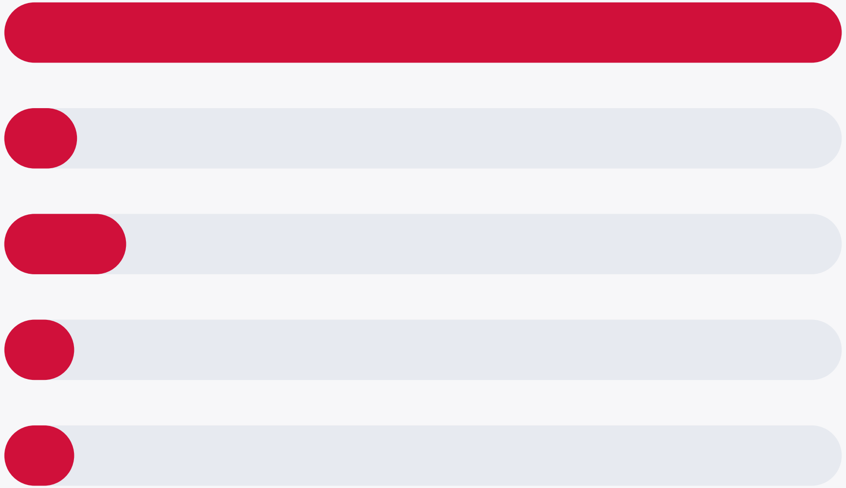
TOTAL ECOSYSTEM

US$17,149,680

Projected annual revenue

Projected total ecosystem annual revenue

US$17,149,680



Incremental retail margins	21% gross retail margin	US$12,852,000
Last-mile delivery share	US$1.50 net per drop	US$1,080,000
Cross-border tech surcharge	3% on international cards	US$1,836,000
Diaspora Priority subscriptions	6,000 subscribers @ US$8.99	US$647,280
Supplier-funded retail media	1.2% of platform GMV	US$734,400

Aligning risk, capital and structure

OPTION 1 Independent Concierge

We operate as a standalone entity mirroring your catalog via API. Senders pay us in US$; we buy stock at a negotiated wholesale discount and fulfil with our own driver network.

SETUP	MONTHLY	REVENUE
US$15,000	US$8,500	5–8% markup + 3–5% rebate

OPTION 2 White-Label Licensing

We build the cross-border storefront extension and license it to TM PnP. It integrates into tmpnponline.co.zw, natively branded, fulfilled by third-party Zimbabwean couriers.

SETUP	MONTHLY	REVENUE
US$25,000	US$2,000	US$40k + US$3.5k/mo or 1.5–2% GMV

Partnership and hybrid structures

OPTION 3 Tripartite Joint Venture

PnP + Quatrohaus / Code Virtus + our firm. We provide the cross-border framework, payment tunnels and diaspora marketing; branch staff pick, third-party bike networks deliver.

SETUP	MONTHLY	REVENUE
US$5,000	**Absorbed in IT budget**	**60 / 20 / 20 net profit split**

OPTION 4 Remittance Tokens

Diaspora shoppers buy a US$ Eco-Voucher: auto-dispatch a staple hamper by bike courier, or push a secure barcode via SMS/WhatsApp for in-store redemption, bypassing cash-out queues.

SETUP	MONTHLY	REVENUE
US$10,000	**US$3,000**	**4–6% commission + float yield**

Commercial model comparison

Metric	1 · Reseller	2 · White-Label	3 · Joint Venture	4 · Voucher Hybrid
Upfront capital	US$15,000	US$25,000	US$5,000	US$10,000
Operational effort	Extremely high	Very low	Low (oversight)	Medium
Time to market	3–4 months	4–5 months	1–2 months	2 months
Primary revenue	Product markups	Licensing fees	Net profit pool	Commission + float
TM PnP risk tier	Zero risk	Technology buyer	Co-owner	Channel partner

Building beyond the current platform

Three new components layer over the existing web framework.

Geo-fenced marketing core

Hyper-targeted social and digital advertising aimed at high-density Zimbabwean pockets — Hillbrow and Randburg in South Africa, London and Leeds in the UK.

API logistics middleware

A dispatch interface linking the TM PnP back-end to localized courier networks and on-demand e-bike fleets for route optimisation and proof of delivery.

Real-time substitution logic

An automated WhatsApp bot lets the sender or recipient approve alternatives instantly when an item goes out of stock during picking.

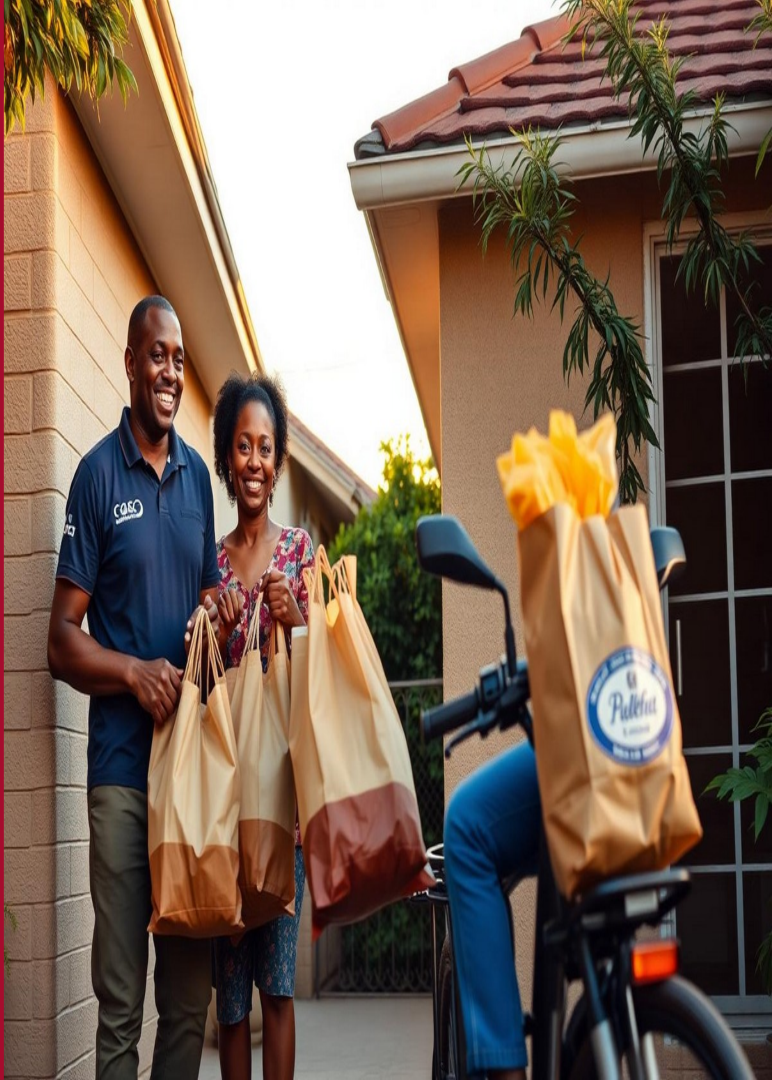
A defensive moat against OK Zimbabwe & Choppies

Market leadership

While competitors stay focused on brick-and-mortar or basic localized delivery, TM PnP becomes the definitive cross-border retail pipeline for the diaspora ecosystem.

Maximising group assets

Collection desks convert into high-volume dispatch stations, lifting stock turnover speed across all primary product lines.



What the platform uniquely delivers

White-label solution

Customizable platform retailers brand as their own, with flexible commercial models — subscription or commission-based.

Time-to-market advantage

Leverage existing integrations (API, SIM switch, payments) to launch quickly and capture customers before competitors.

Robust and secure platform

A reliable, scalable and secure system compared to informal, unregulated channels.

Bank-agnostic integration

Participation across multiple banks, expanding reach and customer access.

Critical mass creation

Support in building user adoption through partnerships with banks and diaspora communities.

Hybrid commercial model

Transaction fees, subscription or discounts — flexibility for different business strategies.

Adaptability to market dynamics

Analytics to adjust pricing, packaging and delivery models as consumer behaviour shifts.

Direct-to-Consumer

Moving beyond brick-and-mortar retail into a direct relationship with the shopper.

Benefits to TM Pick n Pay and the market

- **Faster market entry**
  Existing developer integrations accelerate rollout.
- **Customer convenience**
  Digital shift lets diaspora and local customers buy from anywhere.
- **Expanded customer base**
  Diaspora markets plus multiple banks' captured audiences.
- **Replacement of informal trading**
  A legitimate, tax-compliant alternative to unreliable channels.
- **Cross-border resilience**
  Bypasses constraints on physical goods movement between countries.
- **Economies of scale**
  Better prices and smaller packages matched to consumer cash flow.
- **Increased loyalty & retention**
  Secure, reliable delivery builds trust vs informal traders.
- **Revenue diversification**
  Subscriptions, fees or discounts plus wholesale partnerships.
- **Scalability**
  Regional expansion with packaging adapted to local needs.
- **Convenience-driven adoption**
  Small daily-use packages fit township and village habits.
- **Government alignment**
  Formalized trade supports taxation and regulation.

Sell market access and intelligence — not “a diaspora solution”

Brick-and-mortar is no longer defensible

Footfall retail cannot hold share on its own. The defensible asset is the customer relationship, not

Buyers are price-led, not brand-led

Households shop the cheapest basket available on the day. Informal channels are winning that

The Malayitsha channel is being constricted

One-stop border posts, electronic travel authority and tighter vehicle declarations are squeezing the

The opening left behind

Diaspora funding + bank rails + owned delivery + wholesale into the informal channel — a brand

Positioning discipline: the pitch is market access and demand intelligence. Framed as a diaspora product, it reads as a niche remittance play and stalls in committee.

The end state is a trading platform, not a single-retailer app

Phase 1 · Entry

TM Pick n Pay value-add

Single-tenant. TM branded, TM catalogue, TM fulfilment. The platform earns its place inside one retailer before anything else is discussed.

Phase 2 · Depth

Wholesale and informal channel

TM supplies tuck shops and repackagers through the same rails. Volume grows without adding a competing banner to the storefront.

Phase 3 · End state

Retail-agnostic trading platform

Shopper asks for cooking oil; the request goes to every participating supplier and the best price wins. Retailers become suppliers on a marketplace.

Multi-tenant has already been prototyped — three banners running in one app — then deliberately pulled back to a single tenant for the entry conversation.

Sequencing is the safeguard: introduce the platform as a TM advantage, without signalling that competitors sit on the same rails on day one.

Item-level price comparison is the reason to participate

SHOPPER REQUEST · “COOKING OIL”

Supplier A · 2L cooking oil Best price · 2.1km	**US$3.10**
Supplier B · 2L cooking oil Faster slot · 0.8km	**US$3.45**
Supplier C · 2L cooking oil Bundle offer	**US$3.60**
Tuck shop · 500ml repack Local fulfilment	**US$0.95**

Comparison across every participating supplier

One request fans out to all listed suppliers. The shopper sees price, distance and slot side by side and picks. Price competition, not shelf position, decides the sale.

AI ranking of most-tradable items

The engine ranks demand by item, area and week — a what-to-stock signal feeding order-to-cash: buy the right depth, in the right pack size, before the demand lands.

Anything that allows a subscription is the model

Rider fees

Scooter rent-to-buy instalments, then a standing platform fee per dollar earned.

Advertising

Scooter livery, in-app placement and supplier media sold as monthly inventory.

Garage services

Servicing, parts and accessories on a maintenance plan, not a per-repair invoice.

Tenant fees

Each retailer, wholesaler and tuck shop pays a tiered monthly platform fee.

Shopper plans

Priority delivery and family basket sharing on a recurring plan.

Data products

Demand and price intelligence licensed by subscription to suppliers.

Every line above is bent toward recurring revenue. One-off transaction fees fund a project; recurring fees fund a company and give the valuation a base to stand on.

One consolidated revenue model

PHASE 1 · MODELLED TODAY

Retail product margins 21% margin on migrated basket · Transactional	US$12,852,000
Last-mile delivery share US$1.50 net per drop · Transactional	US$1,080,000
Cross-border surcharge 3% on international cards · Transactional	US$1,836,000
Diaspora Priority plans 6,000 subscribers @ US$8.99 · Recurring	US$647,280
Retail media network 1.2% of platform GMV · Semi-recurring	US$734,400
Total ecosystem	**US$17,149,680**

PHASE 2 · RECURRING LAYER ADDED

Tenant platform fees
Tiered monthly fee per retailer and tuck shop

Rider plans
Rent-to-buy instalment, then a standing platform fee

Garage & maintenance plans
Monthly servicing and parts cover, not per repair

Data & price intelligence
Demand and pricing feeds licensed to suppliers

Shopper plans
Priority delivery and shared family baskets

Pricing per tier still to be set — annual values [TBC] until tenant and rider counts are agreed.

From transaction-led to subscription-led as the platform goes agnostic

LAUNCH

Diaspora-to-door on TM stock

Retail margin, delivery share and the cross-border surcharge carry the model. One recurring line: Diaspora Priority at US$647,280.

SCALE

Second and third retailers onboard

Tenant platform fees, rider plans and garage plans start billing monthly. Transaction fees stay, but stop being the whole story.

AGNOSTIC

Marketplace of retailers and tuck shops

Subscriptions across tenants, riders, shoppers and data become the base load; commission rides on top as upside.

Same ecosystem, valued differently: transaction fees fund a project, recurring fees fund a company.

The last mile is owned, not outsourced

500–2,000
Platform-owned electric scooters

12 months
Rent-to-buy, then the rider owns it

~5 months
Asset pays itself back

~10%
Platform fee per dollar earned after ownership

Rent-to-buy

The rider operates for twelve months and then owns the scooter. The asset repays itself in roughly five months; months six to twelve are margin.

Advertising rights

Livery is sold on subscription: 80% reserved for the anchor retailer, 20% open inventory. A moving media network across every delivery route.

Own the garage

Repairs, parts and accessories stay inside the platform on a maintenance plan. Electric tricycles extend the fleet into rural routes, with women riders as the first cohort.

Trade US$100 a month for five months — earn the handset

Month 1	Month 2	Month 3	Month 4	Month 5
US$100 traded	US$100 traded	US$100 traded	US$100 traded	5G-lite smartphone awarded

Discovery-Vitality mechanics

Consecutive qualifying months unlock the reward. Behaviour is earned, not bought, and the tier resets if trading lapses.

Family basket sharing

Several household members contribute to one qualifying basket, so families reach the threshold faster and consolidate spend on the platform.

The real purpose

A ~US$50 landed handset with the markup absorbed migrates 2G and 3G users onto the platform. Device cost is customer acquisition, booked as such.

Bank-agnostic by design, multi-bank in practice

What we say to banks

Plug your remittance APIs into the platform and we bring transaction share-of-wallet: recurring diaspora flows landing as retail settlement rather than cash-out.

No exclusivity is requested and none is given. Every rail is one integration among several, so pricing stays competitive and no single institution gates the platform.

What we say to the retailer

Banks bring critical mass. Their diaspora bases are already captured audiences; the platform converts those balances into baskets inside your estate.

Institutions under discussion are prospects at this stage. Nothing is presented in-app as a confirmed partnership until an agreement is signed.

Design rule: no bank-specific logic in the core. Rails are adapters, so adding or dropping an institution is a configuration change, never a rebuild.

Tuck shops become distribution extensions, not competitors

STEP 1

Aggregate

Local orders in a suburb are pooled in the app rather than fragmented across trips.

STEP 2

Fulfil locally

The nearest tuck shop picks and hands over, cutting distance, fuel and delivery cost.

STEP 3

Repackage

Bulk stock is broken into the 200g-type pack sizes the market actually buys.

STEP 4

Supply

The retailer sells bulk into the channel as a wholesaler and keeps the volume.

Pack size is the unlock

Households buy 200g, not 2kg. The retailer sells bulk to the tuck shop, the tuck shop repackages to the price point the street can afford — the small-multipack playbook proven by packaged brands expanding regionally.

The government argument

Routing informal trade through the platform makes it visible: tax is captured, stock is traceable and counterfeit product is squeezed out. Legitimisation, not enforcement.

Hybrid commercial model, two-country structure

White-label

The storefront and app ship under the retailer's brand, licensed rather than sold.

Subscription

Tiered monthly platform fees per tenant, opening at a 100,000-participant tier.

Commission

A thin transaction share on GMV, sitting on top of the recurring base.

South African company

Holds the platform IP and raises capital where liquidity and investor access are deepest. Contracts with tenants and banks sit here.

Zimbabwean subsidiary

Runs logistics, the scooter fleet and local agreements on the ground, with local employment and local regulatory standing.

Directional as at 13 August — structure to be confirmed with tax and legal counsel before any binding term sheet.

Turn 57+ branches into a diaspora fulfilment network

Recommended next step: select a commercial structure and mandate a 60-day pilot on two flagship Harare branches.